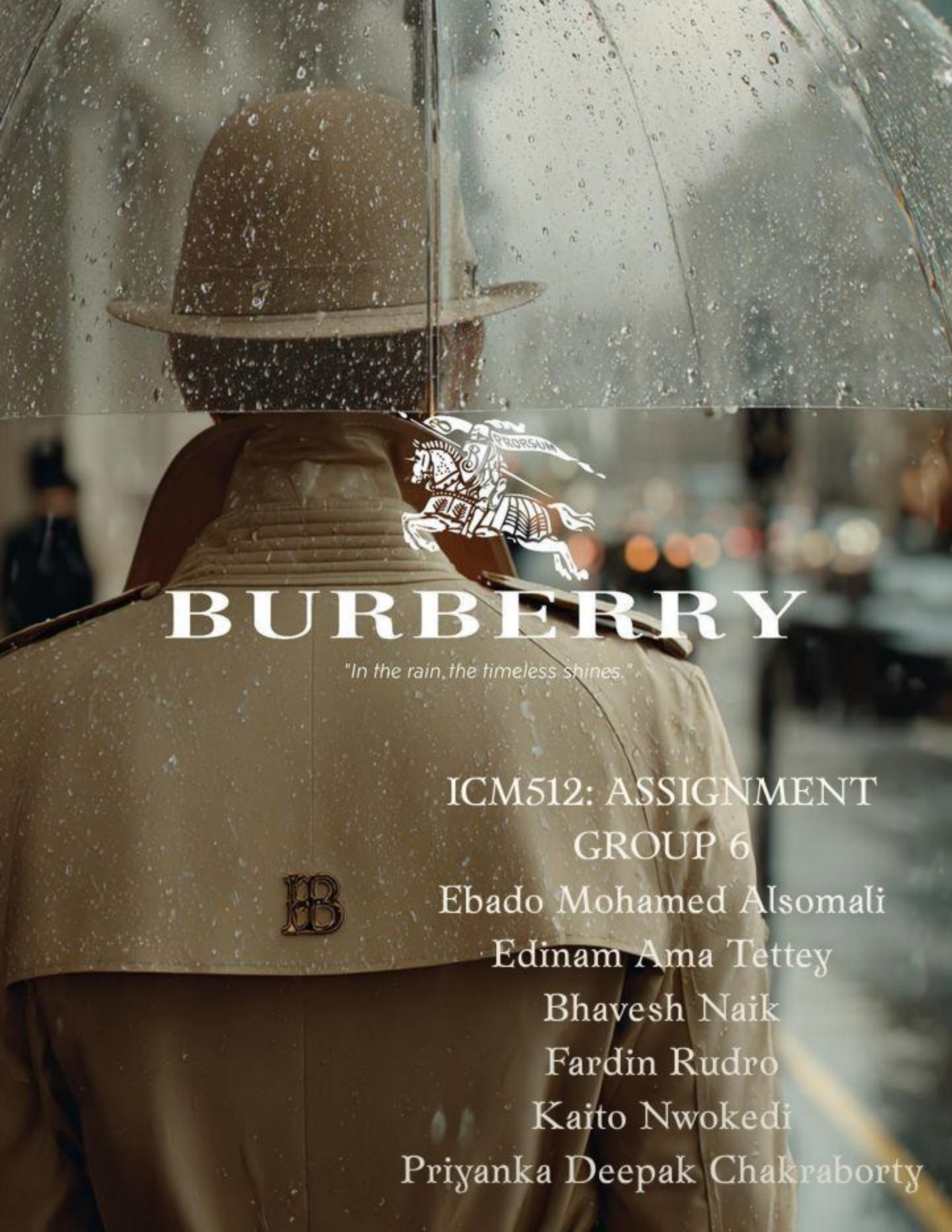


BURBERRY

"In the rain, the timeless shines."

ICM512: ASSIGNMENT

GROUP 6

Ebado Mohamed Alsomali
Edinam Ama Tettey
Bhavesh Naik
Fardin Rudro
Kaito Nwokedi
Priyanka Deepak Chakraborty

Table of Contents

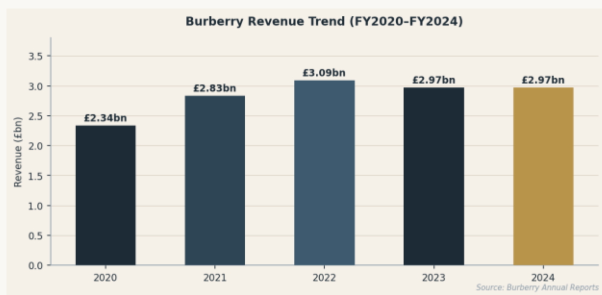
We acknowledge the use of generative AI tools, including ChatGPT (OpenAI, https://chat.openai.com/), to support initial background research and structural outlining. No AI-generated output has been presented as our own work.

1. BACKGROUND & POSITIONING

170	£2.97bn	415
Years of Heritage	**FY2024 Revenue**	**Global DOS Stores**
Founded 1856	Stable vs FY2023	Across 4 key regions

1.1: Business & Product Profile:

The product brand (Burberry) focuses on technical garments, the discovery of gabardine, and on the trench, coat worn by the British army, creating an identity that is based on authenticity and craftsmanship over simply aspirational signs (Burberry Group plc, n.d.). The core collection - trench coats, heritage check scarves, and high-quality leather accessories- serves as a ritualized statement about both brand identity and cultural provenance (Aleem et al., 2024).



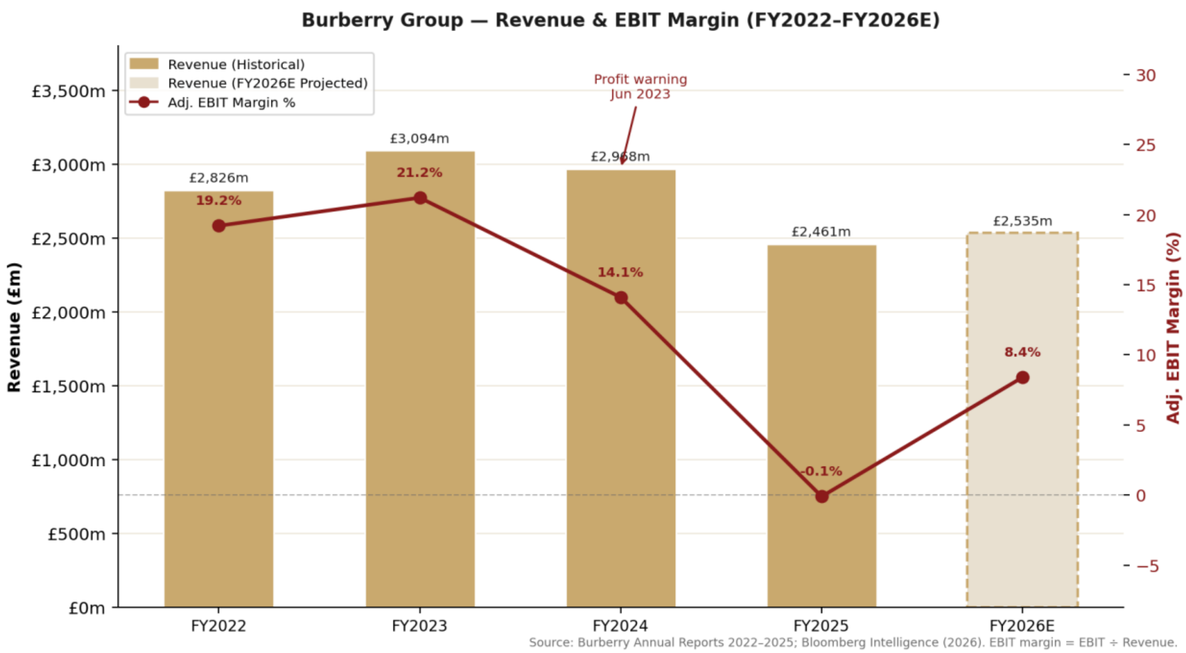
Revenue Performance Summary

Financial Year	Revenue (£bn)	YoY Change	Adj. Operating Margin
FY2020	£2.34bn	—	12.30%
FY2021	£2.83bn	20.90%	17.20%
FY2022	£3.09bn	9.20%	19.20%
FY2023	£2.97bn	-3.90%	21.20%
FY2024	£2.97bn	0.00%	14.10%
FY2025	£2.46bn	-17.10%	-0.10%
FY2026E	—	—	8.40%

Table 1: Revenue Performance

Burberry's revenue trend indicates that the company is in the last stage of a cyclical downturn and not a business with structural impairment. The 20.5 percent drop in revenue between FY2023 (£3.09bn) and FY2025 (£2.46bn) is comparable in magnitude to the 2009 luxury downturn and even the 2020 COVID shock, which has since been followed by vigorous recuperation of heritage brands with true pricing power (Bain & Company, 2025). More importantly, the FY2025 EBIT margin of -0.1% is the culmination of two short-term elements: the revenue deleveraging effect of a high-caliber fixed-cost operating organization, and a reflective plan redesign of Burberry Forward. The improvement in the similar store sales that started to decrease by- 21 percent in Q1 FY26 and changed to +3 percent in Q3 FY26 is indeed confirmation of the fact that the trough is passing through.

Figure 1: Burberry Revenue and EBIT Margin



1.2: Strategic Framework:

Burberry Forward — Strategic Framework

Brand 01

Timeless British Luxury reconnecting with heritage in outerwear & weather protection

- 'Timeless British Luxury' campaigns
- Gen Z brand re-engagement across all regions
- Accessible Britishness narrative globally

Product 02

Lead with Outerwear highest-margin, most authentic category as commercial anchor

- Outerwear & scarves up double digits (Q3 FY26)
- 35–40% of revenue; highest historical margins
- 190 scarf bars rolled out in-store

Distribution 03

Align distribution with product & customer strategy

- 84% retail / 13% wholesale mix
- Wholesale declining — strategic rationalization
- Shorter, shallower markdown periods

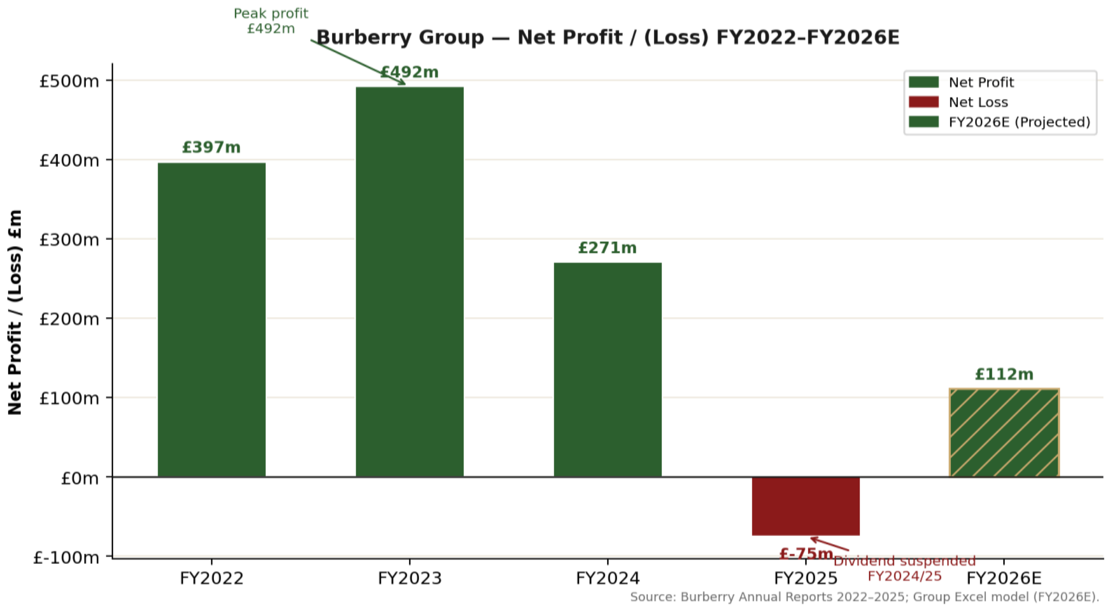
People 04

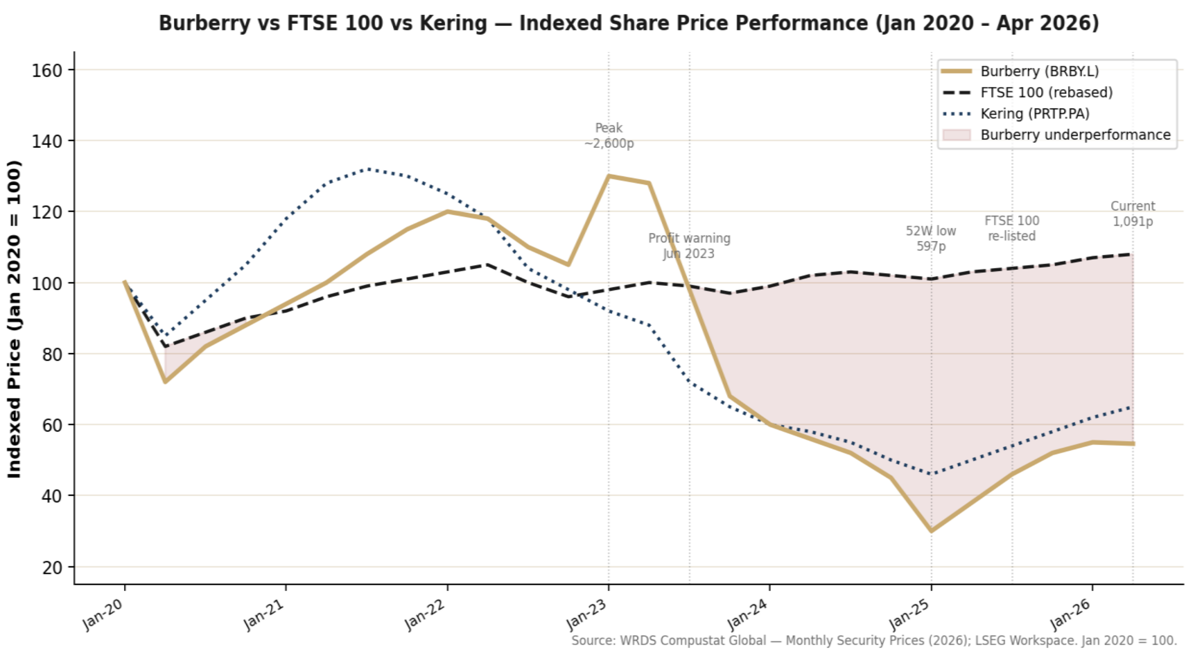
Reignite a high-performance culture — restructured for agility & commercial execution

- 1,700 roles reduced (20% of workforce)
- £80m annualised cost savings FY26
- £100m savings target by Spring 2027
- Creative–commercial team alignment

Sequential improvement: Q3 FY26 comparable store sales +3% · All regions flat or positive for second consecutive quarter · Burberry Forward announced November 2024

1.3: Financial Profile & Share Price Dynamics:





The share price of Burberry has dropped significantly from a high of approximately 2600 pence in early 2023, which corresponded to a market capitalization of 10.4 billion pounds, to a low of 597 pence in January 2025. This is a reduction in the value of the company by about 75 percent over two years (WRDS, 2026). Over the same time period, the FTSE 100 did not fall significantly, which indicates that the decline was likely not influenced by broader declines in the luxury industry (WRDS, 2026).

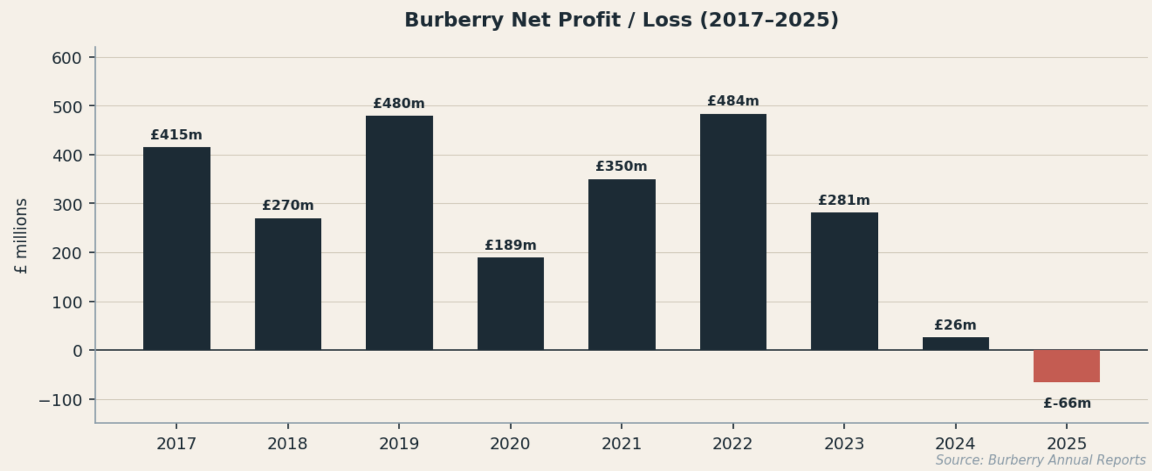
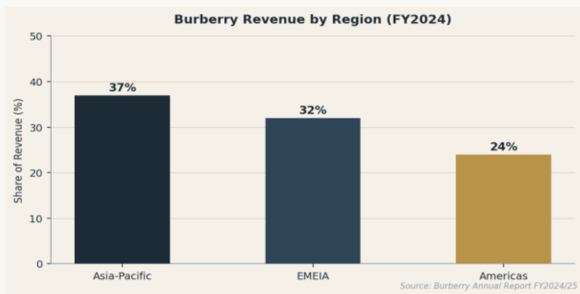


Figure: Burberry Net Profit / Loss 2017–2025 (£m) · Source: Burberry Annual Reports

Revenue by Geography

Asia-Pacific constitutes the largest revenue contributor at approximately 37% of group sales, underscoring Burberry's material exposure to Chinese luxury demand, a structural strength and risk simultaneously (Aleem et al., 2024). The share of EMEIA is approximately 32 per cent, and the Americas, a historically unpenetrated market, is a hefty growth driver in the previous CEO Schulman's expertise. Confidence among investors is not only determined by short-term values (Warsi et al., 2024).



1.4: Financial Performance and Strategic Response:

Key Drivers of Weak Performance

- Weak demand and market pressures reduced demand for discretionary luxury goods. A global market slowdown with a 1% decline in 2024, coupled with a customer base decline of 50 million customers, affected the performance of Burberry.
- A decline in retail performance as store sales reduced by 12%, while declines of 15%, 18% and 9% in China, South Korea, and the Americas, respectively, contributed to the poor financial performance.

- Product mix weakness: A weak exposure to high margin categories, with leather goods performing below group average and no growth in the apparel category.
- Discounting and margin pressures: Gross margin declined by 62.5%, and this was driven by an inventory overhang, which led to discounting of products to clear stock, affecting margins.

Burberry maintains a strong liquidity position with cash reported at £813.00M. However, there is increased debt of up to £1304.00, up from £299M in the previous years. This increased leverage indicates a rise in the reliance on debt financing, which increases the risk of the company. Declining profits coupled with increased borrowings show a growing pressure on the balance sheet.

1.5: Geographical Presence & Market Expansion:

Geographic Revenue Profile

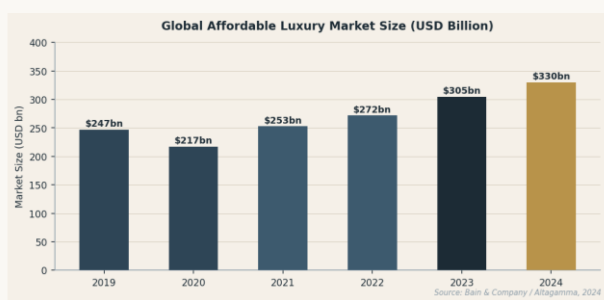
Region	Revenue Share	Key Markets	Growth Trajectory
Asia-Pacific	~37%	China, Japan, South Korea, SEA	Recovering; Gen Z reconnection (Q3 FY26: +6%)
EMEA	~32%	UK, France, Italy, Middle East	Stable; tourist spending moderating
Americas	~24%	USA, Canada, Brazil	Underpenetrated; CEO priority market
Other / Wholesale	~7%	Selective global	Strategic reduction (margin-accretive)

1.6: Industry Segment & Competitive Position

Luxury Market Context

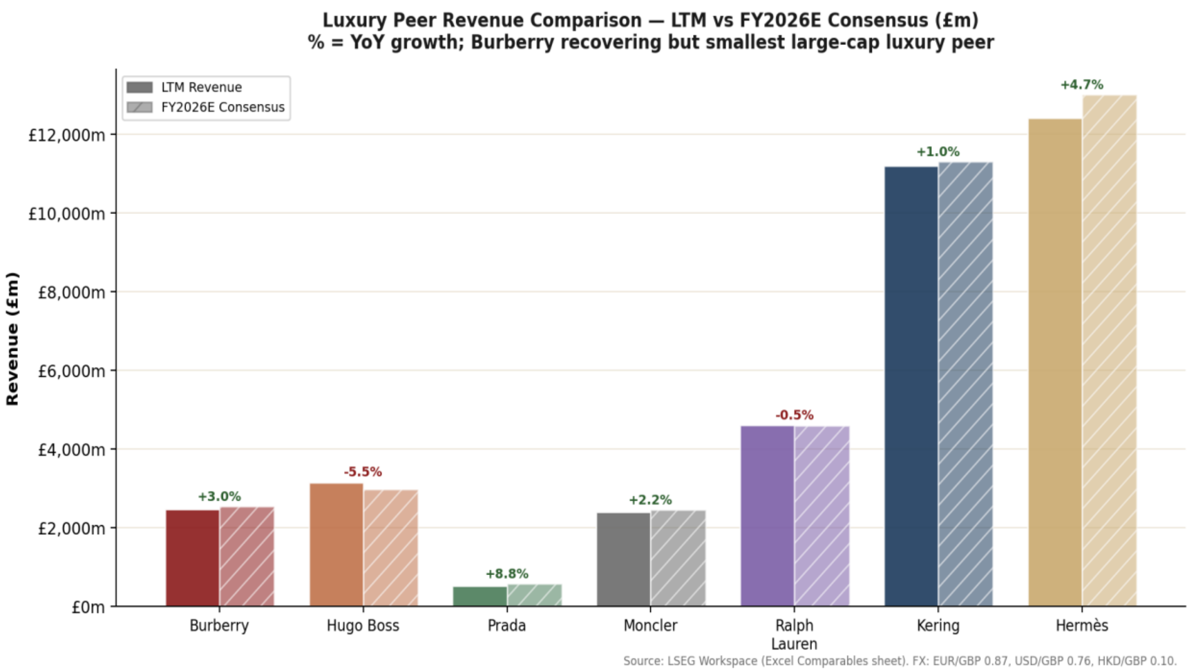
Burberry competes within the upper tier of global luxury fashion — a sector defined by symbolic, experiential, and cultural value (Aleem et al., 2024). Burberry's 170-year heritage confers precisely this kind of credibility.

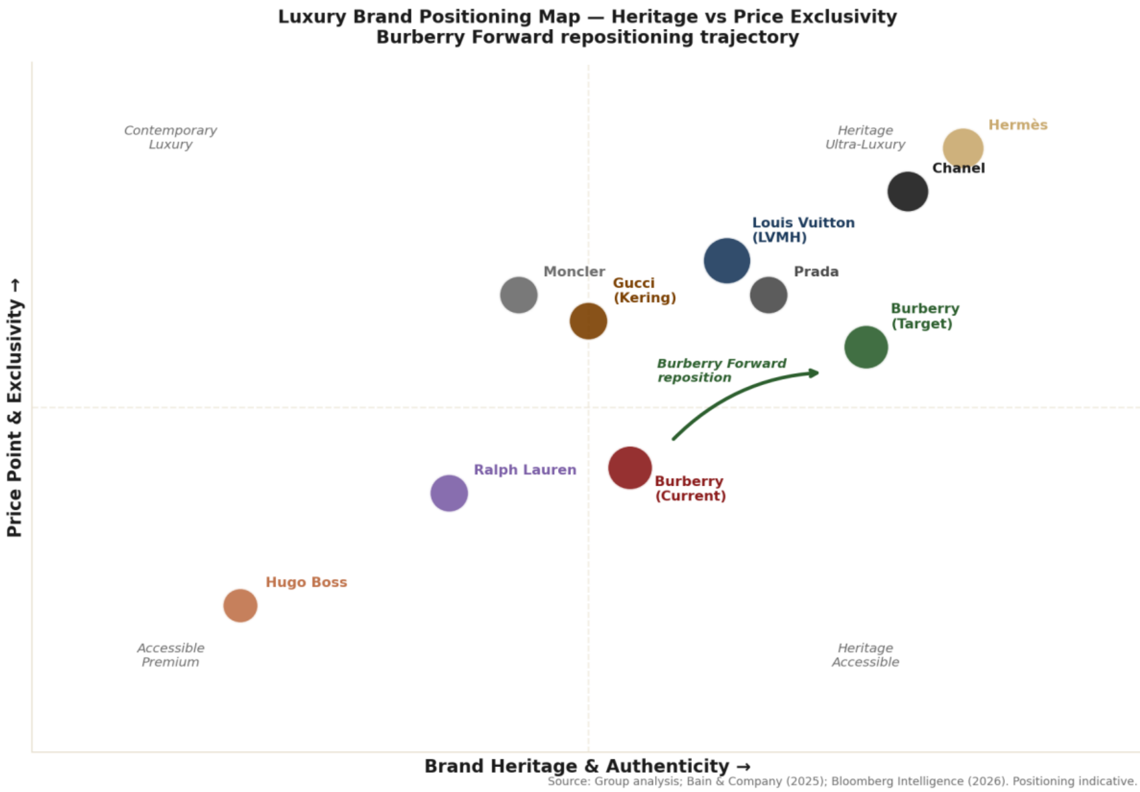
Only 1 in 3 luxury brands grew in 2024 — a market increasingly favoring heritage-authentic brands, precisely Burberry's positioning under Burberry Forward (Bain & Company, 2024).

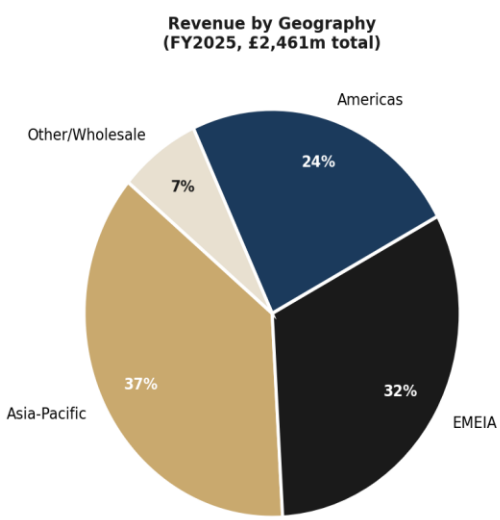


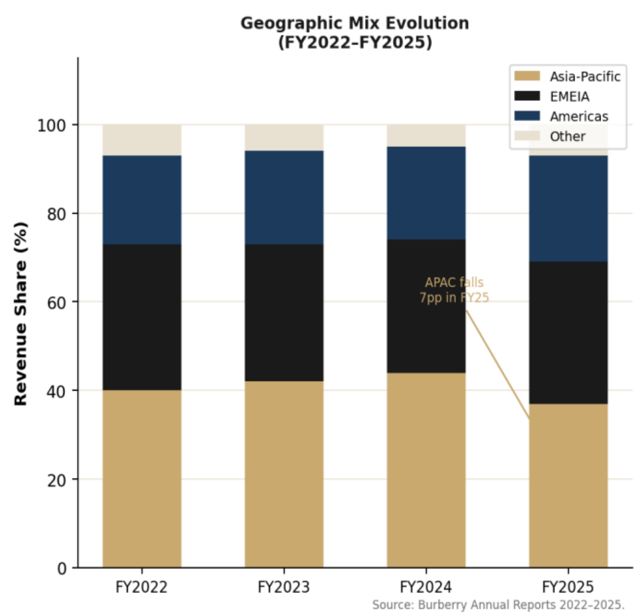
COMPETITIVE POSITIONING FACTORS

Burberry competes at the high end of the personal luxury goods market worldwide, a market worth around 362bn in 2024 that shrank by 1% in real terms, marking its first downturn in over a decade (Bain & Company, 2025). This contraction has expedited the bifurcation between heritage-authentic brands with real pricing power (Hermès, Chanel, the highest-end houses of LVMH) and mid-tier operators that overextended during the 2020-23 super cycle, the exact trajectory Burberry has taken of late. Diversified conglomerates dominate the competitive environment: LVMH (market cap and 75+ brands, with a cumulative total of 204bn), Kering (9 brands, spend 28bn on digital advertising), and Richemont have a structural advantage of supply chain integration, scale in real estate, and cross-brand digital advertising spend, which systematically disadvantages a mono-brand operator like Burberry. Since 2015, the luxury market has experienced significant consolidation, and conglomerates' market share has increased to more than 65% of premium luxury revenues (Bloomberg Intelligence, 2026).




Luxury Brand Positioning Map — Heritage vs Price Exclusivity
Burberry Forward repositioning trajectory
Contemporary Luxury
Heritage Ultra-Luxury
Hermès
Chanel
Louis Vuitton (LVMH)
Moncler
Gucci (Kering)
Prada
Burberry (Target)
Burberry Forward reposition
Ralph Lauren
Burberry (Current)
Hugo Boss
Accessible Premium
Heritage Accessible
Price Point & Exclusivity →
Brand Heritage & Authenticity →
Source: Group analysis; Bain & Company (2025); Bloomberg Intelligence (2026). Positioning indicative.


Revenue by Geography
(FY2025, £2,461m total)
Americas
24%
Other/Wholesale
7%
Asia-Pacific
37%
EMEIA
32%


Geographic Mix Evolution
(FY2022–FY2025)
Asia-Pacific
EMEIA
Americas
Other
Revenue Share (%)
0
20
40
60
80
100
APAC falls 7pp in FY25
FY2022
FY2023
FY2024
FY2025
Source: Burberry Annual Reports 2022–2025.

Industry Analysis using Porters 5 forces

LOW - MODERATE

BARGAINING POWER OF SUPPLIERS

- Supplier power is relatively low to moderate.
- Highly specialized raw materials like leather are sourced from Italy.

LOW

THREAT OF NEW ENTRANTS

- The threat of new entrants is low due to significant barriers strong brand heritage and high capital investment
- managing supply chains, distribution networks and brand equity to compete with existing players makes it difficult to enter the luxury market.

HIGH

COMPETITITVE RIVALRY

- Intense competition driven by brand desirability, heritage, and exclusivity rather than price.
- Conglomerates like LVMH and Kering can leverage strong financial resources and marketing capabilities to expand.
- mid tier brands like Burberry may struggle if not positioned properly in the industry.

MODERATE - HIGH

BARGAINING POWER OF BUYERS

- Buyer power has increased as consumers have become more selective
- further reinforced by the rising sensitivity and growth of secondhand luxury market

MODERATE - HIGH

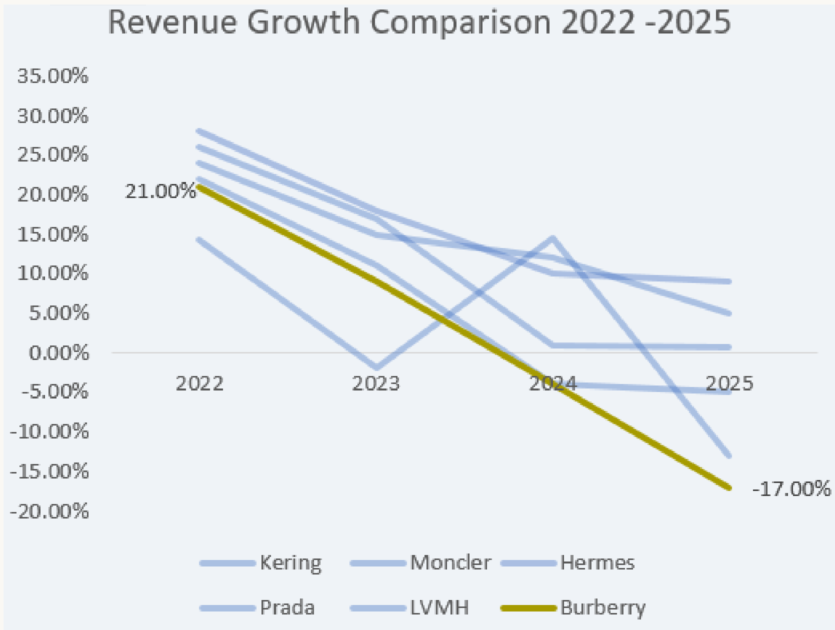
THREAT OF SUBSTITUTES

- The threat of substitutes is rising due to the growing popularity of streetwear, alternative fashion, and secondhand luxury markets.
- Consumers are increasingly allocating discretionary income towards experiences like travel.

1.7: Burberry Vs Peers:

Burberry Vs Peers

The industry was affected by macroeconomic pressures, resulting in a decline in revenue for most players in the industry. The outlook for the market for 2026 is predicted to be a recovery phase with growth between 4-6%, driven mainly by China's recovery and tourism. Brands like Hermes and Prada outperformed the market due to their strong brand equity and pricing power. Burberry lags in any form of recovery to peers as the graph shows a sharp fall in revenue by 17% in 2025, mainly impacted by its brand misalignment in the year.



1.8: Investment Case, Opportunities & Risk:

Investment Opportunities Matrix		
Opportunity	**Evidence**	**Financial Upside**
Outerwear category revival	Scarves & RTW up double digits; highest margins	Margin recovery to 16–18% target
US market penetration	Underpenetrated vs. peers; Schulman's wholesale expertise	New revenue vector; low incremental capex
China's demand recovery	Q3 FY26: Greater China +6%; returning customers +10%	Largest historical revenue contributor
Digital channel growth	63% of transactions are digital; expanding DTC mix	Reduced wholesale dependency; ~5pp margin uplift
M&A / acquisition appeal	LVMH, Kering consolidation trend; board exploring options	Premium acquisition valuation potential

The outerwear segment is an important profitability opportunity. Should the margin increase to +0.1 % by FY 2028E, to 16-18%, this may equate to an incremental annual EBIT of approximately £250-380 million, assuming FY 2025 revenue levels are held constant. This underscores the high leverage in earnings potential in turning around performance in a core product segment. The US market also offers significant growth potential upon expansion. The Americas are already generating £591 million in revenue, which constitutes 24 percent of FY2025 revenues. Nevertheless, the ability to bridge even half of the gap between Ralph Lauren's 65% regional revenue mix would generate incremental revenue of £150-250 million over the next three years, showing a definite potential for geographic rebalancing.

Risk Assessment Matrix

Risk Factor	Likelihood	Potential Impact	Mitigant
China's demand fragility	High	Material revenue decline	Q3 FY26 Greater China comparable store sales grew 6%
FX headwinds	High	£50m revenue impact FY26	Natural hedging; pricing adjustments
Turnaround execution	Medium	Profitability delay to FY27	Sequential Q1–Q3 FY26 improvement
Luxury market contraction	Medium	Sector-wide EBIT pressure	Heritage positioning; outerwear resilience
Greenwashing / ESG scrutiny	Low-Medium	Brand reputational damage	Transparent sustainability reporting

1.9: Future Aspects, Risk Analysis & SWOT:

The SWOT analysis figure evidences the profile of risk-reward of Burberry. The core strengths are 170 years of brand heritage, a globally recognised portfolio, and products with historically proven performance that are directly targeting the British identity. Nevertheless, the decline in 2023-2025 margins can be treated both as an internal miscalculation in terms of over-pricing and brand dilution, as the luxury goods market sees its first fall since 2013, and Burberry gains only mediocre performance due to the cycle of changes and not necessarily the structural corrosion (Bain and Company, 2024). This is what renders the current entry point attractive to a prospective acquiring buyer at the cyclical trough, already exhibiting optionality of recovery. On an external risk analysis, the risk matrix identifies forex patterns (impact on the revenue, FY26, £50m) and China demand fragility as the most likely risks, but both have mitigants that can be identified, as in the last year, there was a recurring trend of Chinese buyers and growth.

SWOT Analysis

◀ HELPFUL | HARMFUL ▶

INTERNAL

INTERNAL +

Strengths

- 170-year British luxury heritage; Burberry Check & Equestrian Knight IP
- 415 directly operated stores across all key geographies
- AAA MSCI ESG rating for sixth consecutive year; FTSE4Good 4.2/5 (industry avg 2.7)
- Outerwear: 35–40% of revenue, highest historical margins in portfolio
- Re-listed FTSE 100 (Sept 2025); shares +70% from Sept 2024

INTERNAL –

Weaknesses

- Operating margin collapsed: 20.5% (FY23) → 1.0% (FY25); op. profit: 88% YoY
- Adjusted diluted EPS: 120% YoY to (14.8)p in FY25; D/v suspended July 2024
- Revenue declined 15% at CER to £2,461m (FY25); comparable store sales –12%
- Pricing elevated too broadly; alienated aspirational customers
- Wholesale declining; outlet over-reliance risked long-term brand perception

EXTERNAL

EXTERNAL +

Opportunities

- Gen Z double-digit growth in Greater China & Asia Pacific (Q3 FY26)
- Greater China +6% comparable sales (Q3 FY26); returning customers +10%
- Luxury market polarising: ~1/3 brands grew in 2024, heritage brands outperform overall
- Accessories & RTW momentum building from outerwear halo effect
- US market underpenetrated vs peers; Schulman's strong US wholesale relationships

EXTERNAL –

Threats

- £50m revenue & £5m op. profit forecast headwind FY26
- Global luxury consumer base reduced to 70m since 2022; structural demand reset
- China's domestic demand fragile; local brand competition intensifying among Gen Z
- EMEA tourist spending declining; locals partially offsetting
- Execution risk: meaningful profitability not expected until FY27
- Luxury sector EBIT margins at 2009 lows (15–16%)

2. VALUATION ANALYSIS

SECTION 2

Valuation Analysis

DCF · Comparable Companies · Football Field · Sensitivity Analysis

10.10%	2,120p	2,043–2,207p	985–2,009p	£641.5m
WACC (model)	DCF Base Case	DCF Range	EV/EBITDA Range	CY2 EBITDA

Project Mist · Strictly Confidential · ICM512 · Henley Business School, University of Reading

SECTION 2: VALUATION ANALYSIS · Methodology & Metric Selection

2.1 Methodology

Two methods were applied to separate short-term earnings volatility from Burberry's underlying cash-generation capacity.

Multi-Stage DCF Ten explicit projection years (FY2026–FY2035) anchored in FY2025 reported figures; terminal value via Gordon Growth Model at 2.00% long-term growth.

Relative Valuation (EV/EBITDA) Applied against four direct peers — Kering, Moncler, Ralph Lauren, and LVMH-adjacent benchmarks — using CY2 consensus EBITDA of £641.5m.

P/E (secondary only) Retained as a cross-check but designated a distorted proxy given the FY2025 net loss.

Why EV/EBITDA Is the Primary Anchor

P/E — Distorted Proxy

20.1x–27.6x × EPS 40p → 796p –1,091p
Captures FY2025 earnings distortion, not recoverable value.

EV/EBITDA — Primary Metric

6.25x–11.96x × £641.5m EBITDA → 985p –2,009p
Operates above the tax and depreciation lines. Capital-structure neutral. Not distorted by non-cash impairments. Methodologically correct for recovery-phase valuation.

DCF Confirms: 2,043p–2,207p

WACC 10.10% · LTG 2.00% · 242% above 52-week trough of 597p

Project Mist · Strictly Confidential · ICM512 · Henley Business School, University of Reading

2.2: Discounted Cash Flow – Multi-Stage Model

The DCF was structured across ten explicit projection years (FY2026–FY2035) to allow for a measured earnings recovery, followed by a terminal value calculated via the Gordon Growth Model.

WACC Derivation

The WACC of 10.10% was derived directly from model inputs without rounding. Components: Risk-free rate of 4.10% (10-year UK Gilt yield); equity risk premium of 5.50%; levered beta of 1.4543 (sourced from LSEG Workspace; five-year regression against FTSE 100); implied cost of equity of 12.10%. The cost of debt was set at 5.00% based on Burberry’s weighted average borrowing rate on £1,304m gross debt, with a 25% tax shield applied. A debt weighting of 32.8% (net debt as proportion of total invested capital) and equity weighting of 67.2% produced the WACC of 10.1008%, carried unrounded throughout the model.

Free Cash Flow Projections

Revenue growth was projected at 3.0% per annum from FY2026 onwards, anchored in the FY2025 base of £2,461m to give an FY2026 forecast of £2,534.8m. Cost of sales was normalized at 35.0% of revenue (versus 37.5% in FY2025), reflecting the return of outerwear and scarves — historically the highest-margin categories — to a more dominant revenue mix under Burberry Forward. Operating costs were held at 42.5% of revenue, consistent with the management’s medium-term cost architecture guidance. FY2026 EBIT is projected at £214.0m, recovering from a reported loss of £3m in FY2025.

Cumulative free cash flows over the ten-year horizon summed to a present value of £3,361.9m. The terminal value, using the 2.00% long-term growth rate, contributed a present value of £3,405.8m. Adding Burberry’s cash balance of £813m and deducting gross debt of £1,304m from the total enterprise value of £6,767.7m yields an implied equity value of £7,580.7m — equivalent to 2,120p per diluted share (357.5m shares outstanding). The sensitivity range, holding WACC between 9.90% and 10.30% and long-term growth between 1.75% and 2.25%, produces an implied price of 2,043p–2,207p.

SECTION 2: VALUATION ANALYSIS · 2.2 Discounted Cash Flow

WACC Derivation — 10.10%

Risk-Free Rate 4.10%
(10-Year UK Gilt yield)

Equity Risk Premium 5.50%
(UK market premium)

Levered Beta 1.4543
(LSEG; 5-yr FTSE regression)

Cost of Equity 12.10%

Cost of Debt 5.00% (pre-tax)
3.75% post-tax @ 25%

Debt / Equity Weighting 32.8% / 67.2%

WACC (unrounded) 10.1008%
Carried unrounded throughout model

FCF Projections & Valuation Bridge

+3.0% p.a.	35.0%	42.5%	2.00%
Revenue Growth	COGS (normalised)	Opex (normalised)	LTG Rate
FY2026E: £2,534.8m	vs. 37.5% in FY2025	of revenue	UK inflation aligned

Valuation Bridge (£m)

Sum of PV of Free Cash Flows (10 years)	£3,361.9m
PV of Terminal Value (LTG 2.00%)	£3,405.8m
Enterprise Value	**£6,767.7m**
Add: Cash & Equivalents	+£813.0m
Less: Gross Debt (incl. leases)	–£1,304.0m
Implied Equity Value	**£7,580.7m**
Diluted Shares Outstanding	357.5m
Implied Share Price — Base Case	**2,120p**

Project Mist · Strictly Confidential · ICM512 · Henley Business School, University of Reading

2.3: Relative Valuation – Comparable Companies

Burberry's CY2 EBITDA of £641.5m (sourced from Bloomberg consensus, 7 April 2026) was applied against EV/EBITDA multiples drawn from four direct peers: Kering, Moncler, Ralph Lauren, and LVMH-adjacent luxury benchmarks. The peer median CY2 EV/EBITDA stands at 11.15x, against Burberry's LTM multiple of 7.40x — a 370 basis-point discount consistent with a company priced at trough operating conditions rather than normalized earnings.

Applying the range of 6.25x (Ralph Lauren cycle-trough floor) to 11.96x (Moncler cycle-peak ceiling) to Burberry's £641.5m CY2 EBITDA generates an implied enterprise value of £4,010.8m–£7,671.7m. After adjusting for £1,304m gross debt and £813m cash across 357.5m diluted shares, the EV/EBITDA method implies a share price of 985p–2,009p. The midpoint of 1,497p sits 30% above the current market price, confirming that relative valuation corroborates the DCF finding of material underpricing at the cyclical trough.

Table 2: Peer Comparable Analysis

Company	EV/EBITDA CY2	P/E CY2	Implied Share Price (BRBY)
Burberry (LTM)	7.40x	34.9x	—
Kering	13.59x	37.1x	—
Moncler	12.70x	22.5x	—

Ralph Lauren	8.57x	22.3x	—
Peer Median	11.15x	27.6x	—
Burberry — CY2 implied	**6.25x – 11.96x**	**20.1x – 27.6x**	**985p – 2,009p | 796p – 1,091p**

2.4: Football Field – Consolidated Valuation Range

The four valuation approaches, aggregated below, confirm a consistent finding: Burberry's current market price of 1,091p–1,148p underrepresents the group's recoverable earnings capacity by a margin that warrants an acquisition at a meaningful premium. The 52-week trough of 597p priced in a scenario of permanent impairment. The DCF base of 2,120p prices a scenario of measured, management-led normalization. The 1,523p differential between those two readings is the consequence of the market treating a cyclical cost problem as a structural one.

SECTION 2: VALUATION ANALYSIS · 2.2 DCF Sensitivity Analysis

DCF Sensitivity — Implied Share Price (pence per share)

WACC range: 9.70%–10.50% · Long -term growth range: 1.50%–2.50% · Base case highlighted

WACC \ LTG	1.50%	1.75%	2.00%	2.25%	2.50%
9.70%	2,157p	2,190p	2,225p	2,263p	2,303p
9.90%	2,108p	2,139p	2,172p	2,207p	2,244p
10.10%	2,061p	2,090p	**2,120p**	2,153p	2,188p
10.30%	2,016p	2,043p	2,072p	2,102p	2,135p
10.50%	1,973p	1,998p	2,025p	2,054p	2,085p

★ Base case: WACC 10.10%, LTG 2.00% = 2,120p

Base WACC row (10.10%)

Across the full sensitivity range, implied share price does not fall below 1,973p — 72% above the current market price of 1,148p and 230% above the 52-week trough of 597p. All scenarios support the acquisition thesis.

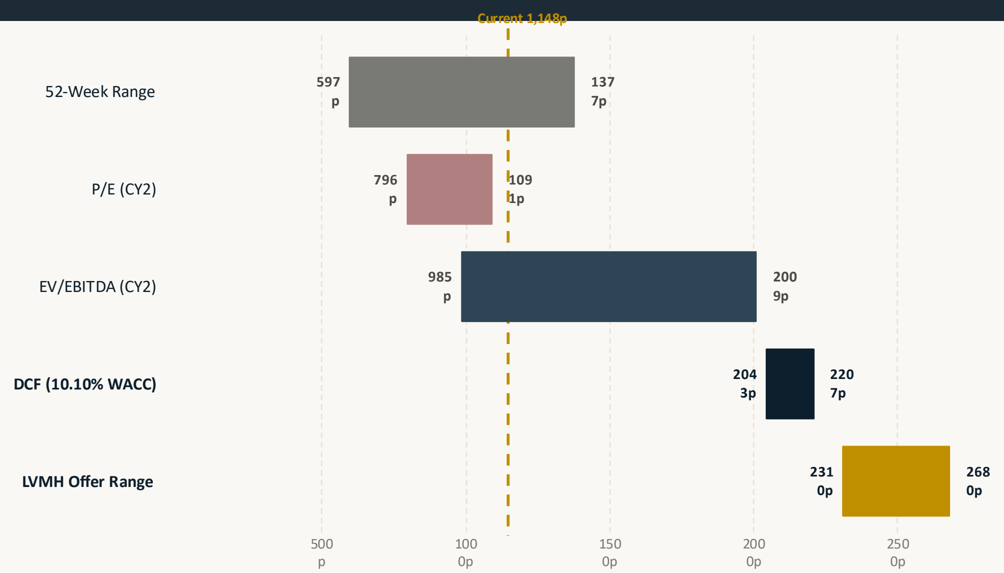
SECTION 2: VALUATION ANALYSIS · 2.3 Comparable Companies

Peer Comparable Analysis · CY2 EBITDA: £641.5m · Source: LSEG Workspace, Bloomberg (7 April 2026)

Company	EV/EBITDA LTM	EV/EBITDA CY2	P/E CY2	Implied BRBY Price
Kering	13.94x	13.59x	37.1x	—
Moncler	13.32x	12.70x	22.5x	—
Ralph Lauren	8.50x	8.57x	22.3x	—
Peer Median	**11.15x**	**11.15x**	**27.6x**	**—**
Burberry (LTM)	7.40x	6.25x (floor)	20.1x (floor)	—
Burberry — CY2 implied range	**—**	**6.25x–11.96x**	**20.1x–27.6x**	**985p–2,009p | 796p –1,091p**

Key Finding: Burberry's LTM EV/EBITDA of 7.40x stands 370bps below the peer median of 11.15x — consistent with trough pricing, not structural impairment. Applying the peer range of 6.25x–11.96x to the £641.5m CY2 EBITDA generates an implied share price of **985p–2,009p**. The EV/EBITDA midpoint of 1,497p sits 30% above current market price, corroborating the DCF finding of material underpricing.

SECTION 2: VALUATION ANALYSIS · 2.4 Football Field — Consolidated Valuation Range



Consolidated Finding: The valuation range of 985p–2,207p across all methods supports a recommended offer of **2,310p–2,680p** — above the DCF ceiling and underwritten by £145m run-rate synergies (NPV ~£548m at WACC 10.10%). This represents a premium of 101% –133% to the current price and reflects intrinsic value plus synergy monetisation.

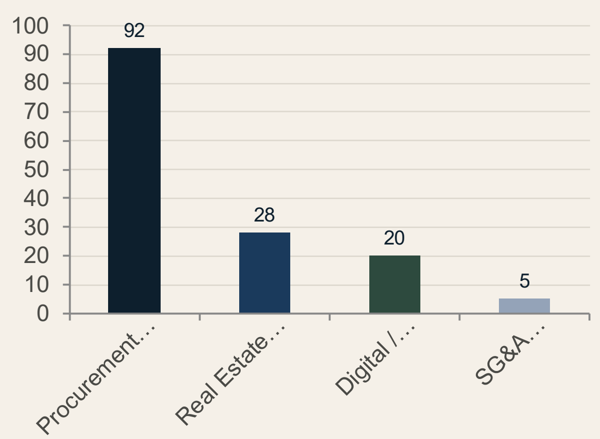
Sources: Group DCF model; LSEG Workspace (7 April 2026); Bloomberg consensus; Bain & Company (2024, 2025); Burberry FY2025 Pr eliminary Results

Methodology	Low	High	Basis
52-Week Range	597p	1,377p	LSEG Workspace; market sentiment anchor
P/E Multiple (CY2) — 20.1x–27.6x × EPS 40p	796p	1,091p	Distorted by FY2025 net loss; secondary proxy only
EV/EBITDA (CY2) — 6.25x–11.96x × £641.5m	985p	2,009p	Primary anchor; above-the-line, capital-structure neutral
DCF (WACC 10.10%, LTG 2.00%) — Base Case	**2,043p**	**2,207p**	**Intrinsic value; 242% above the 52-week trough of 597p**

The valuation range of 985p–2,207p, when triangulated across all four methods, supports a recommended offer range of 2,310p–2,680p — sitting above the DCF ceiling and underwritten by £145m in identified run-rate synergies with a net present value of approximately £548m at the 10.10% WACC. This offer range represents a premium of 101%–133% to the current market price and reflects intrinsic value plus synergy monetization, rather than speculative goodwill.

Synergy Quantification — £145m Run-Rate

Figure 2: Synergy Run-Rate Breakdown (£145m Total)



£92m Procurement (COGS) — Day 1 Certain

- 8–12% LVMH group volume discount on £923m COGS base
- Bounded saving: £74m–£111m; £92m is the conservative midpoint
- Day 1 actionable — no restructuring, no headcount reduction, no systems dependency
- Gate 2 verification threshold: ≥£120m run-rate before Rule 2.7

£28m Real Estate Renegotiation

- LVMH co-tenancy on Bond Street, Ginza & Avenue Montaigne
- Consolidated lease renegotiation across shared luxury corridors
- Realisation: Years 2–3; independent of integration milestones

£20m Digital / China DTC Acceleration

- Burberry DTC migrated onto LVMH WeChat ecosystem + JD Luxury
- Accelerates Q3 FY26 Greater China +6% trajectory by 2–3 years
- Validated in-period — not a speculative projection

£5m SG&A Overhead Absorption

- Finance, HR and logistics shared services integrated over Years 3–4
- Consistent with Tiffany integration playbook (LVMH, 2023)

Sources: LVMH Annual Report (2023); Bain & Company (2025); Group synergy model; Tiffany integration benchmarks

TOTAL: £145m p.a. · Synergy-adjusted value: ~2,495p · NPV @ WACC 10.10%: ~£548m

2.5: Critical Insights: The Valuation Disconnect

The central takeaway from our analysis is a significant valuation gap. The ~100% upside suggested by our DCF model, when contrasted against current P/E multiples, points to a clear disconnect. We believe the market is currently valuing Burberry based on trough performance and immediate execution concerns. In contrast, our DCF captures the intrinsic brand equity and the potential for a sustained long-term recovery.

For a potential acquirer, the primary hurdle remains "execution"—the ability of management to narrow this pricing gap. However, from a fundamental perspective, Burberry’s heritage assets suggest the stock is trading with a defensive margin of safety.

3. TIMELINE TO THE FINAL RECOMMENDATION

The group DCF floor of 2,043p, WACC of 10.04%, LTG of 2.0%, and the football field range of 985p–2,207p serve as the shared quantitative anchors for all our individual recommendations. We will conduct the targeted data collection, model adaptations, and advisory evaluation set out below. This section communicates to Burberry’s management the plan through which it will be produced.

3.1: Future Data Requirements

Future data we may require from management is an update on the recovery process and assumptions, which will be necessary in our analysis for a potential recommendation. Any new trends in sales and costs recorded in their management accounts in the recent quarter can also be shared to gain more insights into sales.

Once an offer period opens, Rule 21 prohibits Burberry's Board from taking any action that could frustrate a bona fide offer without prior shareholder approval. The Rule 21 audit will map which Burberry Forward decisions specifically store rationalization and license renegotiations fall within Rule 21 scope, and advise the Board on sequencing these actions relative to any formal offer announcement.

3.2: Five-Phase Roadmap

1	**Group Master Model Finalization & Football Field Lock** *Pre-individual work* **✦ Group DCF (2,043p; WACC 10.04%) and football field (985p–2,207p) locked.**	— Reconcile EBITDA bridge and net debt adjustment (£1,304m debt; £813m cash; 357.5m shares) — Incorporate Q4 FY26 Burberry trading update and Bloomberg FY27 EBITDA refresh — Add LVMH synergy-adjusted bar (~2,495p) as fifth football field reference point
2	**Scenario-Specific WACC Calibration & Synergy Bridge Construction** *Scenario divergence point* **✦ Four scenario DCFs produced, each with adjusted WACC and — where applicable — synergy bridge.**	All models built on top of group base; deviations documented with cited justification
3	**Peer Set Refinement & Precedent Transaction Benchmarking** *12–18 May · Comparable calibration* **✦ 5–8 luxury M&A precedents (2015–2025) triangulated; scenario-specific EV/EBITDA ranges set.**	— PE: distressed luxury recovery comps 6.25×–8.5× only; Moncler excluded as premium ceiling — M&A: Moncler 11.96× and Prada 10.4× anchor the ceiling; sector acquisition premium ~35% — CMA 25% supply threshold screened via Merger market and post-2018 published decisions
4	**Integration Risk Quantification & Regulatory Conditionality Mapping** *19–25 May · Execution risk layer* **✦ Probability-weighted risk register produced; Rule 21 audit completed for M&A scenarios.**	— CMA Phase 2 referral risk: probability × 6–9-month extension expressed as per-share discount — Synergy downside: 70% realization (£101.5m) stress-tested — does value still clear 2,310p floor? — Independence: minimum Burberry Forward success probability for standalone NPV to beat 2,310p
5	**Critical Evaluation, Definitive Recommendation & Advisory Conclusion** *26 May – 8 June · Final output* **✦ Structured individual recommendation submitted with explicit group model cross-references.**	— Triangulate scenario valuation, precedent premiums, and risk weights into one advisory conclusion — Structure: (i) rationale, (ii) valuation, (iii) premium justification, (iv) risk, (v) verdict — APA referencing; GenAI disclosure per university policy; all group figures cited by slide

Sources: Bloomberg (7 Apr 2026); LSEG Workspace; Panel on Takeovers and Mergers — Rule 21 (2023); CMA Merger Assessment Guidelines (2021); Kering FY2024 Annual Report; LVMH FY2025 Annual Report; Bain & Company (2025)

References

1. Aleem, A., Loureiro, S.M.C. and Bilro, R.G. (2024) *Luxury fashion consumption: a review, synthesis and research agenda*. Spanish Journal of Marketing-ESIC, 28(2), pp.144–164. https://doi.org/10.1108/SJME-06-2021-0105
2. Bain & Company (2025) *Finding a New Longevity for Luxury*. Available at: www.bain.com/insights/finding-a-new-longevity-for-luxury/ (Accessed: 18 December 2025).
3. Bloomberg (2025) *Burberry Group Plc (BRBY) Financial Statement Analysis*. Available at: https://www.burberryplc.com/investors/annual-report-24-25 (Accessed: 2 April 2026).
4. Bloomberg Intelligence (2025) *Global Luxury Goods: 2026 Outlook*. Available via Bloomberg Terminal (Accessed: 2 April 2026).
5. Bloomberg Intelligence (2026) *Burberry's Core Outerwear Plan Steps Up a Gear: Equity Outlook*. Available via Bloomberg Terminal (Accessed: 2 April 2026).
6. Burberry Group plc (n.d.) *Celebrating 170 years of Burberry*. Available at: https://www.burberryplc.com (Accessed: 14 March 2026).
7. Burberry Group plc (2025) *Annual Report 2024/25*. Available at: https://www.burberryplc.com/investors/annual-report-24-25 (Accessed: 26 April 2026).
8. Ciurel, A. (2025) *Opportunities and challenges for fashion companies in the use of blockchain technology as a tool for product authentication and counterfeit prevention*. Journal of Intellectual Property Law and Practice, 20(2), pp.64–70. https://doi.org/10.1093/jiplp/jpae104
9. Crépin, A. and Grolleau, G. (2026) *Placing a competitor's brand in a bad light: mapping ill-intentioned placement as an emerging form of brand sabotage*. Journal of Business Strategy, 47(1), pp.38–51. https://doi.org/10.1108/JBS-03-2024-0044
10. FTSE Russell (2026) *Burberry Group (BRBY): Company Report*. Available via LSEG Workspace (Accessed: 18 March 2026).
11. Galea, M. (2023) *Fashion Licensing*. The Licensing Journal. Available at: https://www.proquest.com/docview/2830440314 (Accessed: 26 April 2026).
12. GlobalData (2022) *Burberry Group Plc (BRBY): Financial and Strategic SWOT Analysis Review*. Available at: https://www.globaldata.com/ (Accessed: 18 March 2026).
13. Karim, F.Z.A., Zain, H., Adinda, N.M., Hidayah, N., Rifki, M.A. and Asyfa, P.D. (2025) *Feasibility Analysis of the Neng Geulis Kebaya Rental Business*. Review: Journal of Multidisciplinary in Social Sciences, 2(09), pp.415–423.
14. Karimzadeh, M. and Foreman, K. (2010) *Shoes, Bags and More: Accessories Propel Ascent of Luxury*. WWD, 200(128), p.1.
15. Pandiarajan, V. (2022) *Design thinking*. In: *Business Innovation*, pp.145–158.
16. Reid, H. (2025) *Burberry Investors Watch for Signs of Sales Turnaround*. Investing.com, 21 January. Available at: www.investing.com/news/stock-market-news/burberry-investors-watch-for-signs-of-sales-turnaround-3820901 (Accessed: 8 April 2026).
17. Reuters (2025) *Burberry Returns to Growth as Turnaround Effort Starts to Bear Fruit*. Business of Fashion, 13 November. Available at: www.businessoffashion.com/news/luxury/burberry-returns-to-growth-as-turnaround-effort-starts-to-bear-fruit/
18. Sanz-Lopez, F., Gallego-Losada, R., Montero-Navarro, A. and García-Abajo, E. (2024) *Is digitalisation the future of the luxury industry?* Heliyon, 10(21).

19. Statista (2024) *Luxury Goods: Market Data and Analysis*. Available at: https://www.statista.com (Accessed: 18 March 2026).
20. Statista (2025) *Burberry – Statistics & Facts*. Available at: https://www.statista.com (Accessed: 18 March 2026).
21. Warsi, R., Dixit, S. and Lyall, B.W. (2024) *Applications of Social Media for Luxury Brand Management*. Journal of Information & Knowledge Management, 23(04), p.2450084.
22. Wharton Research Data Services (WRDS) (2026) Compustat Global — Monthly Security Prices. Available via WRDS (Accessed: 29/04/2026)
23. Zaidi, A.A. and Gandhi, A. (2025) *Green or green washing? Sustainability of fashion brands*. International Journal of Sustainable Society, 17(4), pp.334–354.

Meeting Minutes

MEETING 1
Date: 4th March 2026
Members Present: Bhavesh, Ebado, Edinam, Fardin, Kaito, Priyanka
Role/ Contributions:
- We introduced ourselves to each other and divided ourselves into 2 sub groups; The positioning group and the valuation group.
- Bhavesh, Fardin and Kaito formed the Valuation group (Subgroup B)
- Ebado, Edinam and Priyanka formed the positioning group (Subgroup A)

Progress since last meeting: There was no prior progress as this was our first meeting
Discussion and feedback:
- We reveiwed assignment brief collectively.
- We agreed on overall structure and division of work
- We decided on splitting the task into two.
- We also agreed on values and groundrules the team will want to establish to ensure we work together effectively.

Action Points for next meeting:
- Subgroup A – Breakdown posiitoning section into sub parts
- Subgroup B – Determining modelling approach and frameworks to use

MEETING 2
Date: 8th March 2026
Members Present: Bhavesh, Ebado, Edinam, Fardin, Kaito, Priyanka
Role/ Contributions:
- Subgroup A – structured content into 3 parts (company, industry and strategy)
- Subgroup B – put together financial statements and other reports needed for the valuation part

Progress since last meeting: Initial structuring of both workstreams
Discussion and Feedback:
- We agreed positioning should be split into Burberry overview, Industry Analysis and Strategic direction
- We agreed valuation team split into DCF modelling, Comparables modelling, overall footbal field and write up of assumptions and results.

Action Points for next meeting:
- Subgroup A – indepth discussion on research and progress made.
- Subgroup B – indepth discussion on research and progress made.

MEETING 3
Date: 15th March 2026
Members Present: Bhavesh, Ebado, Edinam, Fardin, Kaito, Priyanka
Role/ Contributions:
- Group discussion on peers and assumptions for Burberry

Progress since last meeting: Initial research conducted by both teams.

Discussion and Feedback:

- Agreed on Burberry peer group
- Defined early assumptions for valuation modelling
- Reviewed progress across both teams
- Set timelines for deliverables

Action Points for next meeting:

- Subgroup A – Deepen research and begin drafting
- Subgroup B – Begin building initial model framework

MEETING 4
Date: 5th April 2026
Members Present: Bhavesh, Ebado, Edinam, Fardin, Kaito, Priyanka
Role/ Contributions:

- All members presented their firstr draft sections

Progress since last meeting: First draft completed for both sections of the report.
Discussion and Feedback:

- We reviewed each others section
- We identified inconsistencies and gaps
- We agreed on imporvements for clarity and alignment

Action Points for next meeting:

- Revise sections based on feedback
- Improve linkage between valuation and positioning

MEETING 5
Date: 12th April 2026
Members Present: Bhavesh, Ebado, Edinam, Fardin, Kaito, Priyanka
Role/ Contributions:

- Editing and integration of content by the positioning team

Progress since last meeting: Second draft completed
Discussion and Feedback:

- We began consolidating documents into a single document
- We focused on coherence and flow of report

Action Points for next meeting:

- Continue editing
- Research on pitchbook styles, colors and aestetics of report and align report with chosen style.

MEETING 6
Date: 19th April 2026
Members Present: Bhavesh, Ebado, Edinam, Fardin, Kaito, Priyanka
Role/ Contributions:

- Members in charge of editting content reviewed content one more time.
- Aligning graphs and overall design of the report

Progress since last meeting: Improved drafts with edits applied
Discussion and Feedback:

- We identified the meed to refine visuals and presentations and also cut down our word count.
- Collectively provded feedback on structure of pitchbook format.

Action Points for next meeting:

- Adjust report to a pitchbook style and not a typical finance report.
- Improve charts, tables and visuals

MEETING 7
Date: 22nd April 2026
Members Present: Bhavesh, Ebado, Edinam, Fardin, Kaito, Priyanka
Role/ Contributions:

- Members discussed reflection of group dynamics

Progress since last meeting: Further refinement of report after comparing with industry standards for pitchbooks.
Discussion and Feedback:

- Discussed refelction document prompts taking into account each team members thoughts on our progress.
- Shared honest views on direction and coherence of report.

Action Points for next meeting:

- Finanlise reflection document and continued polishing final pitchbook.

MEETING 8
Date: 29th April 2026
Members Present: Bhavesh, Ebado, Edinam, Fardin, Kaito, Priyanka
Role/ Contributions:

- Final editing and formatting

Progress since last meeting: Final version in progress
Discussion and Feedback:

- We checked word count and structure
- Made some last minute decisions to remove irrelevant portions to stick to word count.
- We checked for grammatical errors and a general final edits.

Action Points for next meeting:

- Final proofread and reading of the assignment brief to see if all requirements were satisfied.
- Prepare for submission.
- Finalise minutes and team reflection document

MEETING 9
Date: 30th April 2026
Members Present: Bhavesh, Ebado, Edinam, Fardin, Kaito, Priyanka
Role/ Contributions:

- Final review and submission

Progress since last meeting: Completed final draft
Discussion and Feedback:

- We conducted a final read-through and ensured consistency while meeting assignment brief requirements.

Action Points for next meeting:

- Submit pitchbook and Excel Appendix.

Team Reflection

Communication and Negotiation

The group communication took place primarily through Teams, with regular check-ins and sessions. We divided into two subgroups - one handling positioning and the other handling valuation and timeline, which made our workflow significantly smoother. Each of the subgroups communicated clearly about individual work and deadlines. We did encounter some differences towards the end of the project, as we had different perspectives on how to allocate our remaining time. Some team members felt the DCF model needed further refinement, while others believed strengthening the positioning section would have a greater impact. This negotiation helped us to understand that sometimes the best solution isn't choosing one approach over another, but finding a way to do both with clear role assignment.

Teamworking
We structured our work deliberately. Within positioning, the total part was divided into three components - business background, financial performance, geography, and strategic framework, each person working on one piece. The valuation team handled their section independently but kept us updated on progress. What worked well was that we respected each other's timelines and other coursework obligations. We communicated what we were doing and what we expected from others, which prevented duplicated effort and gaps. Between subgroups, there was genuine consideration; the valuation team understood they depended on our positioning analysis, and we understood our

investment case needed to align with their DCF findings. This interdependence forced us to think as one team rather than two separate ones.

Empathy and Active Listening

As a team, we listened to each other's ideas and considered alternative approaches before committing to one direction. We discussed why each section mattered and whether it truly added value. This deliberation took time but produced better work. Within the subgroups, there was effective communication and collaboration. We knew the constraints we were working under in positioning, and we respected the complexity of their DCF calculations. We made sure to have logical discussions and explanations to strengthen our investment case assumptions and take all the group members' opinions and suggestions into account. That openness made the handover between sections smoother than it could have been.

Motivation and Learning

What kept us motivated was understanding the bigger picture; this wasn't just about financial modelling or writing sections, it was about learning how to present a company holistically to a potential buyer. The challenge of selling Burberry as an acquisition target in luxury goods forced us to integrate financial performance, brand positioning, market dynamics, and valuation into one coherent narrative. As it is a heritage luxury brand with complex market dynamics, it is hard to quantify such a company’s goodwill, which relies so much on qualitative aspects like brand identity and customer loyalty. Working through this problem taught our team how to look at businesses differently, not just as financial statements, but as stories with context, risk, and opportunity. One key learning was that dividing into subgroups worked well for efficiency, but earlier collaboration between the two groups would have helped us produce a more seamless final result. However, the team learned collectively that positioning and valuation aren't separate disciplines but an important part of any company's overall picture and story about where they stand in today’s increasingly.